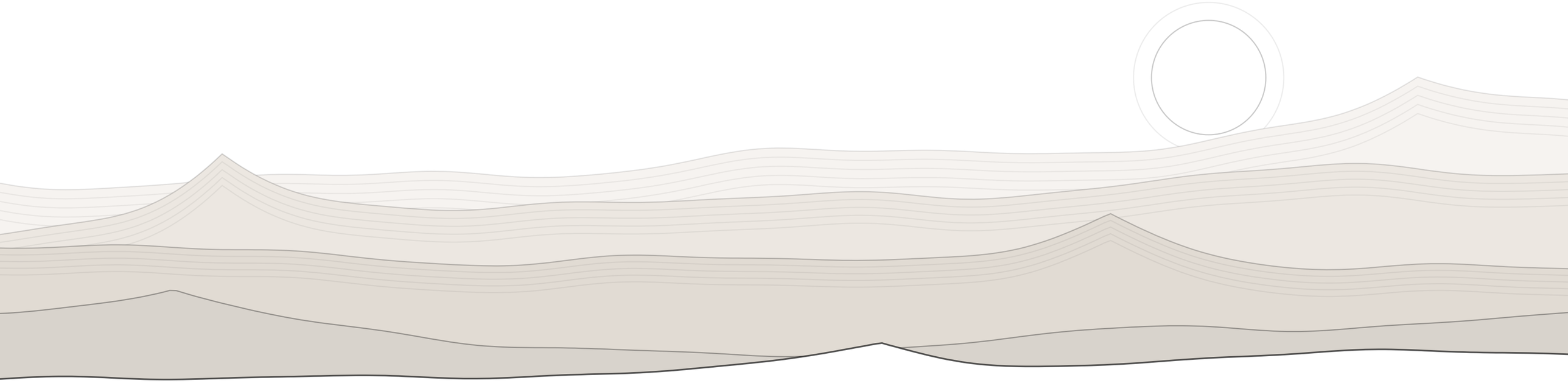
Matterhorn Capital Management

AMC 2026 · ROUND 1 · GROUP 3

Strategic Asset Allocation — Round 1

SCAN TO VISIT



20.10.26

What we will cover

01 Investment philosophy p. 03

02 Outlook p. 05

03 Universe p. 06

04 Method p. 07

05 Allocation p. 08

06 Backtest p. 10

07 Robustness p. 12

08 Implementation p. 14

SECTION

01

Investment philosophy

What we aim for, and how we split the risk.

Diversify across risk, not just across assets.

01

Objective

Highest Sharpe over the 1-month T-bill, in all four regimes.

02

50 / 25 / 25 risk budget

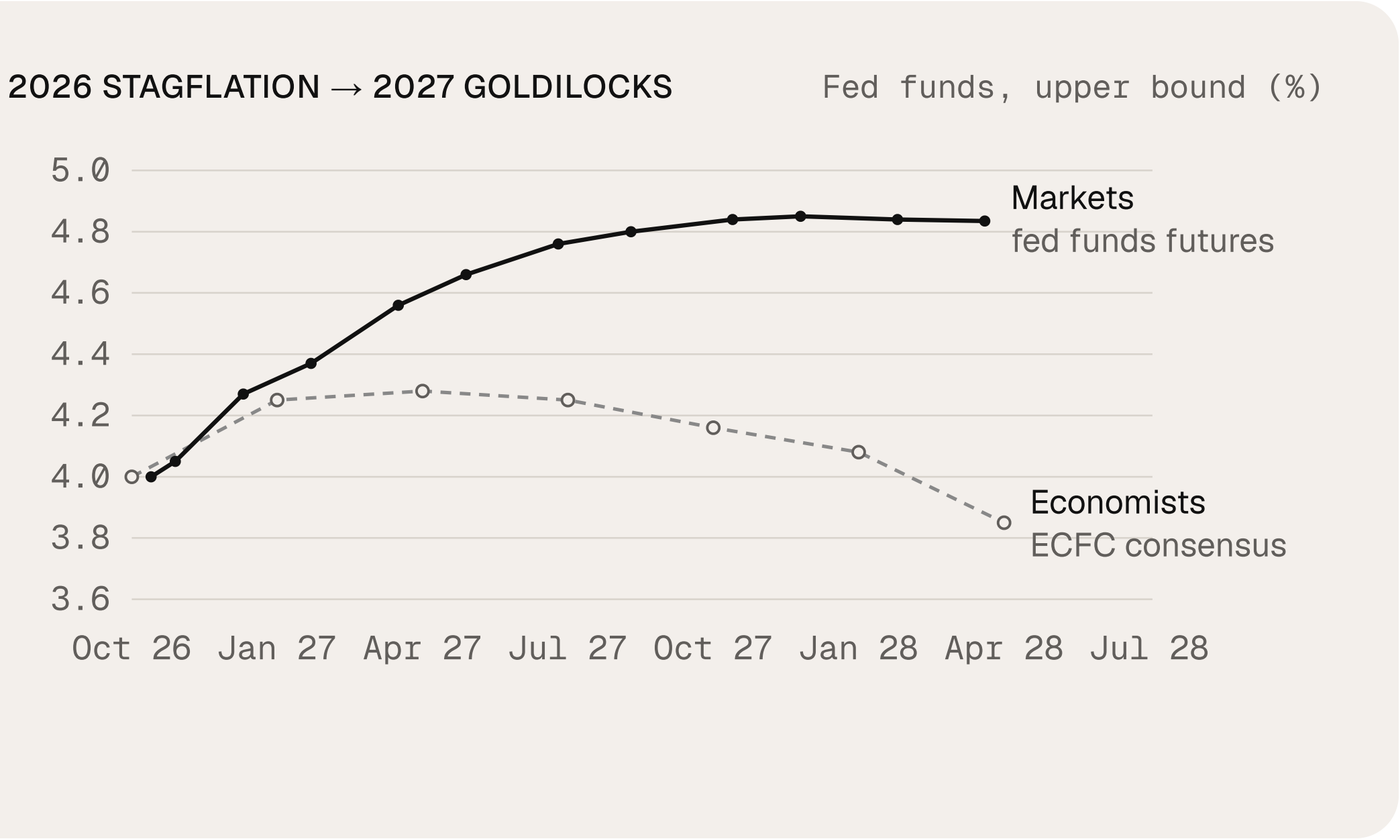
Equity gets half the risk; bonds and real assets a quarter each.

03

Risk, not capital

A dollar in equity moves the portfolio about 2.6 times as much as one in bonds.

Where we see the next twelve months



WHAT EACH PATH MEANS

Equity

Gains from lower rates; under pressure if real rates stay high.

Bonds

Rally if the Fed cuts; under pressure, TIPS included, if real rates stay high.

Real assets

The brake if inflation rises instead of falling.

Source: Round 1 report, Figure 1. Bloomberg ECFC consensus; fed funds futures.

Eight ETFs, three baskets

Equity

Growth

VTI · VEA · IEMG

Earns the equity risk premium.

RISK BUDGET 50%

Bonds

Disinflation

BND · BNDX · TIP

Rally when inflation falls.

RISK BUDGET 25%

Real assets

Inflation

GLD · BCI

Hold up when inflation rises.

RISK BUDGET 25%

BIL RISK TOOL Used only if volatility would exceed the 9% cap.

Source: Round 1 report, Checkpoint 1 and section 03.

From data to allocation in five steps

01

60 months

Monthly returns, Oct 2021 – Sep 2026.

02

Covariance

Volatilities and correlations; no expected returns.

03

ERC in each basket

Equal risk for every ETF inside its basket.

04

50 / 25 / 25

Risk budget across equity, bonds and real assets.

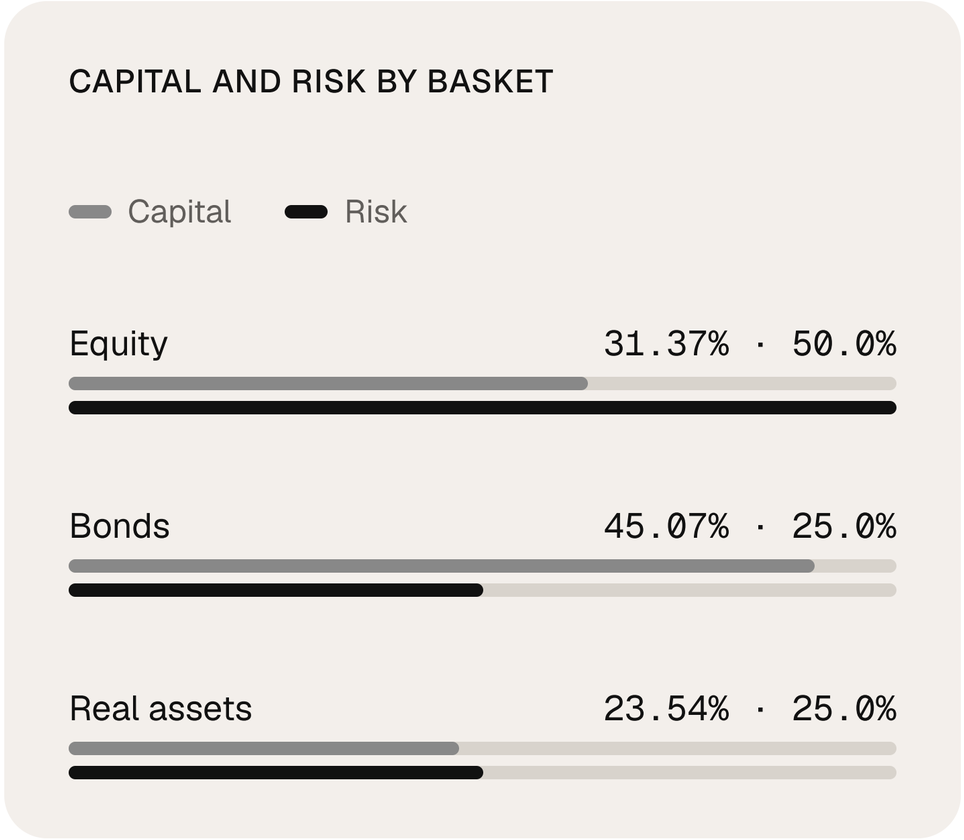
05

Volatility check

Ex-ante 7–9%; BIL only above 9%.

Source: Round 1 report, section 05.

Strategic weights and risk budget



TICKER	BASKET	CAPITAL	RISK CONTR.
VTI	Equity	10.90%	15.21%
VEA	Equity	10.24%	17.42%
IEMG	Equity	10.23%	17.36%
BND	Bonds	13.33%	8.34%
BNDX	Bonds	16.48%	7.83%
TIP	Bonds	15.26%	8.84%
GLD	Real assets	11.15%	15.49%
BCI	Real assets	12.40%	9.51%
BIL	Cash leg	0.01%	0.00%

Source: Round 1 report, Table 7. Ex-ante, covariance of Oct 2021 – Sep 2026.

Risk profile at a glance

EX-ANTE VOLATILITY

8.13%

Annualised · target 8%, band 7–9%

1-MONTH 5% VAR

3.86%

Of portfolio value, normal

1-MONTH 5% VAR · USD

3.86M

USD, on USD 100M capital

SHARPE · HOLD-OUT

0.66

Jul 2013 – Sep 2021, rf = 1-month T-bill

MAX DRAWDOWN

−13.0%

Backtest, 2022

SHARPE · DISCOUNTED

0.33

Hold-out halved, Checkpoint 3

Source: Round 1 report, Checkpoint 1, Table 8 and CP3.4.

Growth of USD 1 in the backtest

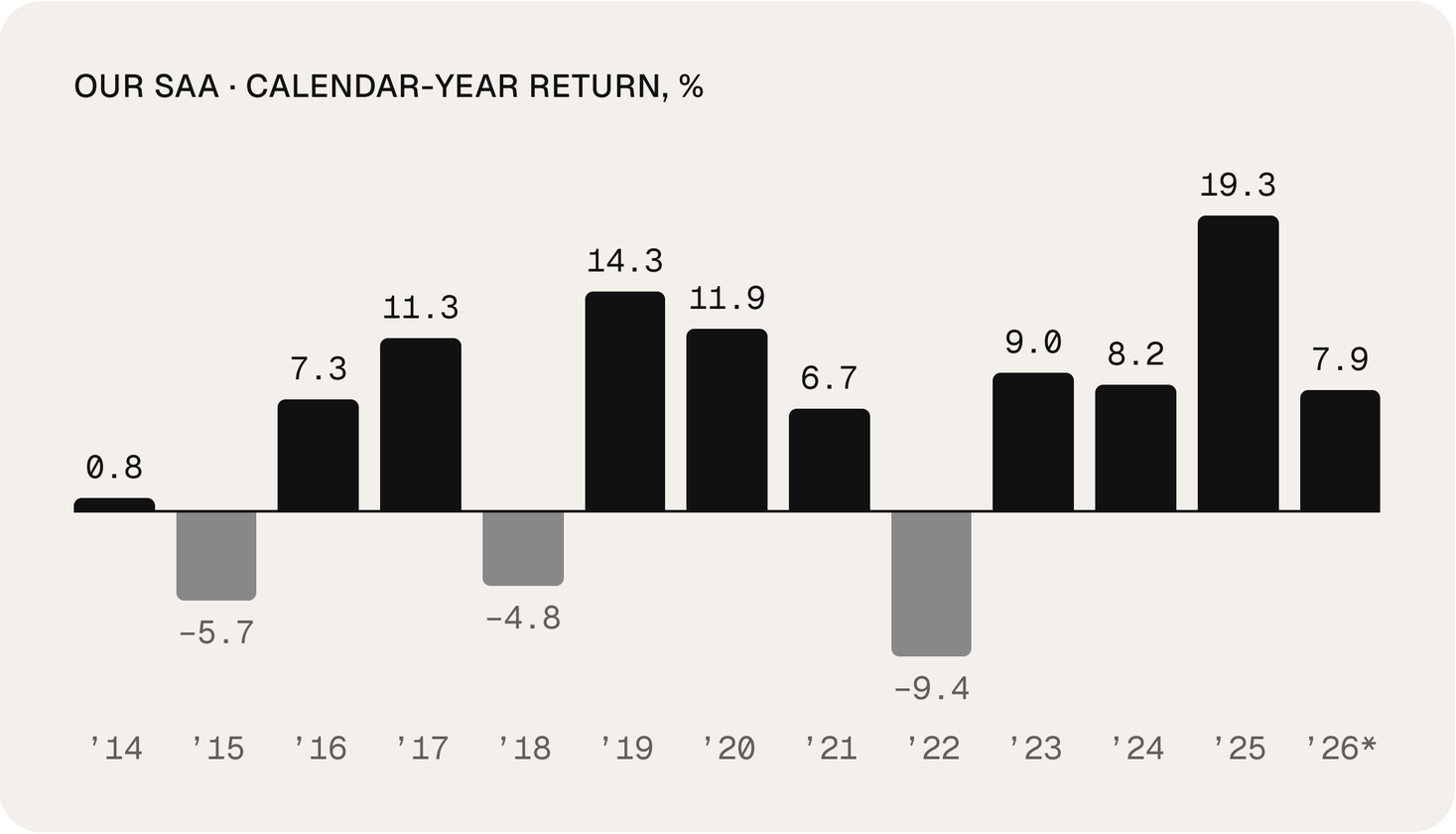
OUR SAA · JUL 2013 – SEP 2026

2.11



Source: Round 1 report, Figure 2. Fixed SAA weights, monthly rebalancing; equal weight and risk parity 1/σ as in Checkpoint 2.

Calendar-year returns in the backtest



TAKEAWAYS

3 losing years of 12

2015, 2018 and 2022, never more than 9.4%.

2022: –9.4%

Equities and bonds fell together; commodities gained.

2025: 19.3%

Equal weight 21.6%, risk parity 1/σ 15.0%.

Source: Round 1 report, Table 9. Total return in %, USD. '26: January – September 2026.

Our SAA against simple alternatives

METRIC	OUR SAA	EQUAL WEIGHT	RISK PARITY 1/σ
Equity · capital	31.4%	37.5%	23.6%
Equity · risk	50.0%	56.4%	41.6%
Bonds · capital	45.1%	37.5%	61.1%
Bonds · risk	25.0%	18.7%	42.5%
Real assets · capital	23.5%	25.0%	15.3%
Real assets · risk	25.0%	24.9%	15.9%
Volatility	8.13%	8.78%	7.23%

Source: Round 1 report, Checkpoint 2. Same 60-month covariance (Oct 2021 – Sep 2026), fully invested.

The allocation holds up out of sample

METRIC	FULL SAMPLE 07.13-09.26	HOLD-OUT 07.13-09.21	SPLIT 07.18-09.26
Return, ann.	5.92%	5.28%	9.75%
Volatility	7.39%	6.94%	10.35%
Sharpe	0.55	0.66	0.68
t-stat	2.00	1.91	1.94
Max drawdown	−13.04%	−11.24%	−15.57%

THE DISCOUNT

0.66 → 0.33

Hold-out Sharpe ÷ 2, because:

- Up to 33 variations tested in sample
- Hold-out seen before committing
- ETFs chosen knowing gold had rallied

Source: Round 1 report, Table 8 and CP3.4. Sharpe over the 1-month T-bill.

Orders to implement the allocation

TICKER	INSTRUMENT	SHARES	PRICE, USD	WEIGHT
VTI	Vanguard Total Stock Market ETF	29,149	374.07	10.90%
VEA	Vanguard FTSE Developed Markets ETF	147,369	69.49	10.24%
IEMG	iShares Core MSCI Emerging Markets ETF	133,320	76.79	10.24%
BND	Vanguard Total Bond Market ETF	188,225	70.82	13.33%
BNDX	Vanguard Total International Bond ETF	349,731	47.13	16.48%
TIP	iShares TIPS Bond ETF	144,602	105.54	15.26%
GLD	SPDR Gold Shares	29,177	382.01	11.15%
BCI	abrdn Bloomberg All Commodity Strategy K-1 Free ETF	469,258	26.42	12.40%
	Total			**100.00%**

CAPITAL

USD 100M

PRICE DATE · CLOSE

16.10.26

LEFTOVER CASH

USD 5.22

Source: Round 1 report, Portfolio description. Whole shares at the close of Friday 16 October 2026, entered in Bloomberg PRTU.

TEAM

Six analysts, one portfolio



Luca Di Pietro
Analyst



Tommaso Rotondò
Analyst



Filippo Selmi
Analyst



Giulia Musi
Analyst

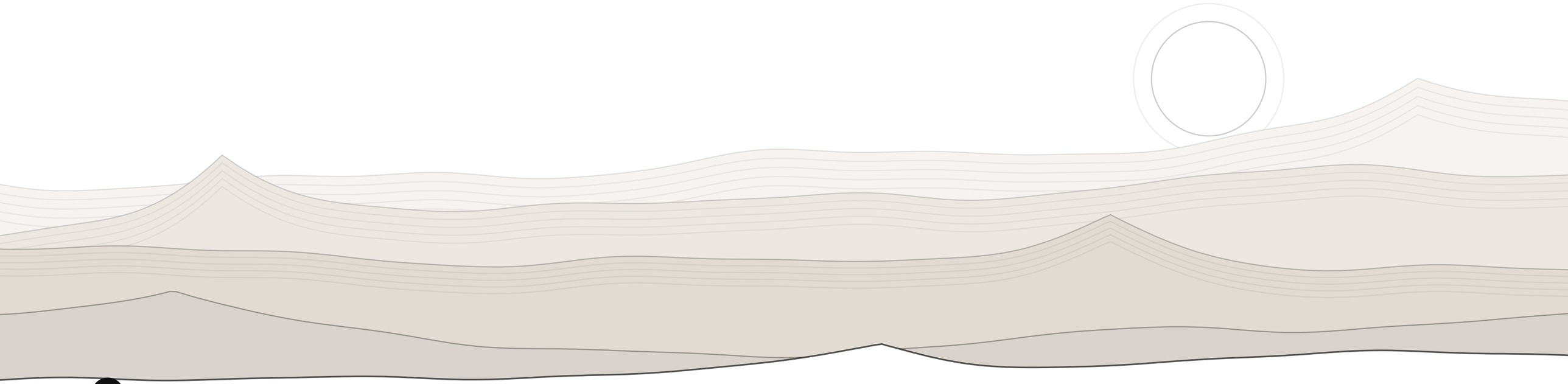


Elena Rocco
Analyst



Aaron Arauz
Analyst

Thank you.



Asset-class statistics

TABLE 3 · VOLATILITY AND MEAN

ETF	VOLATILITY	HIST. EXCESS RETURN*
VTI	15.24%	8.97%
VEA	15.67%	7.02%
IEMG	16.28%	5.86%
BND	6.76%	-4.25%
BNDX	5.57%	-3.74%
TIP	6.00%	-3.87%
GLD	17.08%	14.58%
BCI†	15.36%	8.10%

TABLE 4 · CORRELATIONS

	VTI	VEA	IEMG	BND	BNDX	TIP	GLD	BCI
VTI	1	0.82	0.72	0.50	0.53	0.53	0.14	0.09
VEA	0.82	1	0.81	0.64	0.58	0.62	0.42	0.20
IEMG	0.72	0.81	1	0.56	0.47	0.53	0.44	0.24
BND	0.50	0.64	0.56	1	0.89	0.90	0.46	-0.06
BNDX	0.53	0.58	0.47	0.89	1	0.85	0.41	-0.13
TIP	0.53	0.62	0.53	0.90	0.85	1	0.47	0.12
GLD	0.14	0.42	0.44	0.46	0.41	0.47	1	0.31
BCI	0.09	0.20	0.24	-0.06	-0.13	0.12	0.31	1

*Mean monthly return minus the T-bill, ×12. Shown, not used by our method. †BCOMTR index.

Shading: dark ≥ 0.80, light 0.50–0.79. Monthly returns, Oct 2021 – Sep 2026.